CURRENT AFFAIRS

VENEZUELA ... IN CRISIS

MINI CAPSULE

08-05-2017

4/19th Week


UNITED STATES
North Atlantic Ocean
SPAIN
MOROCCO
MAURITANI
MEXICO
Gulf of Mexico
NORTH PACIFIC OCEAN
MARGARITA ISLAND
VENEZUELA
Caribbean Sea
COLOMBIA
ECUADOR
BRAZIL
PERU
SOUTH PACIFIC OCEAN
BOLIVIA
SOUTH ATLANTIC OCEAN

PRESENT STATUS

Nicolás Maduro
President of Venezuela

1. Venezuela is under serious economic crisis and it has spilled over into its politics.
2. Massive protests have erupted against President, Nicolas Maduro.
3. Maduro called the protests an economic war waged by elite business interests.

Hugo Chávez
Former President of Venezuela

Nicolás Maduro
President of Venezuela

PDVSA

A SLICE INTO HISTORY ...

1. Venezuela's former President Hugo Chavez came to power in 1998.
2. He promised to fight poverty and inequality through socialism.
3. He nationalised huge amounts of private assets, including oil companies.
4. Petróleos de Venezuela is a state-run firm that controls entire oil production in Venezuela.
5. It was tasked with the job of exporting oil to spend the revenues on social welfare.

MINI CAPSULE

A SLICE INTO HISTORY ...

6. With this money, social welfare schemes were expanded as the Venezuela's economy is primarily dependent on oil exports.

7. As a result, Venezuela's poverty rate fell from 50% in 1998 to 30% in 2012.

8. Things became topsy turvy as oil prices tumbled from around $ 115 per barrel in 2014 to as low as $ 27 per barrel in 2016 and recovered subsequently.

9. The flow of dollars stopped and the Govt. could not fund its social spending.

10. It borrowed freshly.

11. It created Bolivars from the Central Bank.

12. Venezuela's money supply grew from 10.6 bn bolivars in 1998 to 290 bn bolivars in 2010 and later reached 7,513 bn bolivars by 2016

13. It resulted in rapid domestic price inflation and drop in the bolivars value and crippled the economy.

PRESENT STATE OF AFFAIRS

1. Inflation has gone beyond control and in 2017, it is expected to be 700% and 2000% during next year.

2. You can say, economic disaster happened.

3. Rationing was introduced for some essential commodities.

4. This resulted in lot of corruption.

5. Prices of essential commodities such as food, medicine, toilet paper were capped and in-turn, this led to shortages, fuelled by excess demand and a steep drop in supplies, as business profits declined.

It is a classic case, what happens when the countries depend only on one commodity and it is also an example where excessive social spending without long-term perspective development can lead the countries to such a situation.

WE EXPRESS OUR SINCERE THANKS FOR VIEWING THIS VIDEO

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